

September 21, 1998

FEDERAL MARITIME COMMISSION

FACT FINDING INVESTIGATION NO. 23-
OCEAN COMMON CARRIER PRACTICES IN
THE TRANSPACIFIC TRADES

ORDER OF INVESTIGATION

Pursuant to the Shipping Act of 1984, 46 U.S.C. app. 1701 *et seq.* ("Act"), the Federal Maritime Commission ("Commission") is responsible for administering a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States. Section 10 of the Act contains specific prohibitions against conduct which would conflict with this system of common carriage.

During the past few weeks, the Commission has received information and allegations that ocean common carriers in the eastbound Transpacific trades have engaged in activities that may be inconsistent with their obligations as common carriers, and that may be in violation of certain section 10 prohibitions. The activities are said to include various forms of refusals of space for cargo unless the shipper agrees to significantly increased rates or charges, and/or the imposition of novel charges such as an "Additional Space Protection Surcharge" or "Container Repositioning Charge." Ocean carriers engaged in this activity appear to include conference lines as well as independents, and may

include carrier actions taken individually or collectively. There are some indications that these activities are targeted solely toward small and medium sized shippers and non-vessel-operating common carriers. Large, "champion" accounts are said to be exempt from these pressures to pay additional or increased charges to obtain bookings.

The current situation in the inbound Transpacific trades is reported to be one of excess cargo and insufficient vessel space. The primary causes of this situation are said to be weak Asian economies, a strong U.S. dollar, and the holiday cargo surge. Exacerbating this inbound surplus of cargo is a significant decline in westbound shipments, causing an imbalance in cargo and in the need for carrier equipment. Nevertheless, ocean common carriers operating in U.S. trades have an obligation to treat shippers in a fair and non-discriminatory manner in the acceptance, handling and carriage of cargo. If there is insufficient space for the amount of cargo tendered, carriers may not refuse to accept cargo or bookings because of the level of revenue to be achieved by the particular shipment.

In Banana Distributors, Inc. v. Grace Line, 5 FMB 615, 620 (1959), the Commission was faced with a situation in which the amount of cargo exceeded the carrier's available space. The Commission found that: "Where the demand for space exceeds the supply, the law is clear: a common carrier must equitably prorate its available space among shippers. Penna. R.R. Co. v. Puritan Coal Co., 237 U.S. 121 (1915); Patrick Lumber Co. v. Calmar S.S. Corp., 2 U.S.M.C. 494 (1941)." Id. at 625. While that decision was rendered under the Shipping Act, 1916, nothing contained in the 1984 Act, or in subsequent case law, would appear to alter this obligation of common carriers subject to regulation by the Commission to "equitably prorate" available space.

In view of these allegations and information, the Commission has determined to commence this nonadjudicatory investigation to gather facts related to recent practices by ocean common carriers in the transpacific trades. Specifically, the Investigative Officer named herein is to develop a record on various practices allegedly engaged in by ocean common carriers in recent weeks, either individually or collectively, to obtain, or attempt to obtain, higher rates or charges for carrying cargo in the inbound trades from the Far East to the United States, including:

1. Demands for rates other than those set forth in applicable tariffs or service contracts;
2. Refusals to accept cargo or provide service absent payment of higher rates;
3. Demands for renegotiation or amendment of service contracts under threat of non-acceptance of cargo;
4. Improper termination of service contracts and application of higher tariff rates;
5. Acceptance of low rated cargo as misdescribed higher rated cargo;
6. "Voluntary" rate increases;
7. Unlawful preference or discrimination by exempting large shippers or "champion accounts" from rate increases or service refusals;
8. The imposition of unreasonable increases in rates or charges; and
9. Other, similar, practices which may be violative of the Act or Commission regulations.

The Investigative Officer is to report to the Commission within the time specified herein, with recommendations for any further Commission action, including any formal adjudicatory, injunctive or rulemaking proceedings, warranted by the factual record developed in this proceeding.

Interested persons are invited and encouraged to contact the Investigative Officer named herein, at (202) 523-5721 (Phone) or (202) 523-0298 (Fax), should they wish to provide testimony or evidence, or to contribute in any other manner to the development of a complete factual record in this proceeding.

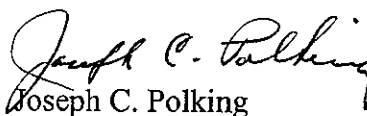
THEREFORE, IT IS ORDERED, That pursuant to sections 6, 10, 11, 12 and 15 of the Shipping Act of 1984, 46 U.S.C. app. 1705, 1709, 1710, 1711 and 1714, and Part 502, Subpart R of Title 46 of the Code of Federal Regulations, 46 CFR 502.281, *et seq.*, a nonadjudicatory investigation is hereby instituted into practices of ocean common carriers in the Transpacific trades, to develop the issues set forth above and to provide a basis for any subsequent regulatory, adjudicatory or injunctive action by the Commission.

IT IS FURTHER ORDERED, That the Investigative Officer shall be Commissioner D.J.H. Won of the Commission. The Investigative Officer shall be assisted by staff members as may be assigned by the Commission's Managing Director and shall have full authority to hold public or non-public sessions, to resort to all compulsory process authorized by law (including the issuance of subpoenas *ad testificandum* and *duces tecum*), to administer oaths, to require reports, and to perform such other duties as may be necessary in accordance with the laws of the United States and the regulations of the Commission;

IT IS FURTHER ORDERED, That the Investigative Officer shall issue a report of findings and recommendations no later than 90 days after publication of this Order in the Federal Register, and interim reports if it appears that more immediate Commission action is necessary, such reports to remain confidential unless and until the Commission provides otherwise;

IT IS FURTHER ORDERED, That this proceeding shall be discontinued upon acceptance of the final report of findings and recommendations by the Commission, unless otherwise ordered by the Commission; and

IT IS FURTHER ORDERED, That notice of this Order be published in the Federal Register.
By the Commission.


Joseph C. Polking
Secretary